

Houthi escalation risk rises as Saudi push widens

送信者: EG Daily Brief 受信日時: 2026-10-06 21:33

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Risks of Houthi escalation and energy infrastructure attacks rise significantly if the Saudi offensive pushes beyond recent coastal gains into territory|||||||

Daily Brief

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6 Oct 2026 08:25 EDT [Discover more on the Portal](#)

summary

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Risks of Houthi escalation and energy infrastructure attacks rise significantly if the Saudi offensive pushes beyond recent coastal gains into territory the group has held for years.

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Persistent Middle East disruption risks and collapsing Russian exports will keep global oil prices elevated, with Brent likely to trade in the \$90–\$110 range through 2026.

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Senator Flavio Bolsonaro's stronger-than-expected first-round showing gives him 70% odds in Brazil's presidential runoff against incumbent President Luiz Inacio Lula da Silva.

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The US Air Force's recall of B-1 Lancer bombers from the UK is a minimal constraint on President Donald Trump's Iran escalation options.

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Countries and sectors in this edition of the Daily Brief include the US, Brazil, Canada, the Middle East and North Africa, Saudi Arabia, Yemen, and oil.

the top line

MENA Crisis—Houthi escalation risk rises if Saudi offensive targets strongholds

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Saudi Arabia launched Operation Dawn of Yemen on 5 October, backing Yemeni government forces retaking Red Sea coastal territory lost in September. Framing its support as a response to Houthi attacks on Saudi cities and the government's aim to ultimately oust the group from Sana'a, Riyadh can likely keep escalation contained while its partners recover lost territory; these areas are vulnerable to Saudi airpower and far from the group's northern strongholds.

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The calculus will change if the Saudi campaign presses farther north toward Houthi-controlled Hodeidah or Sana'a, moving beyond reversing recent advances into terrain the group has held for years. Rugged

terrain would reduce the effectiveness of Saudi airpower and make a ground advance more difficult and prolonged.

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In that scenario, Houthi attacks could expand while Iran-backed militias could target Shaybah, Abqaiq, and Ras Tanoura—raising a risk premium on energy exports even without sustained attacks.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Oil—High oil prices to persist despite Hormuz progress

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With Middle East output nearly back to prewar levels, persistent risks of disruption and further escalation will keep crude and product prices high in 2026, with Brent trading in the \$90–\$110 range.

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Despite recent interventions, diesel prices globally are likely to remain high, partly because of the collapse in Russian exports. Middle distillate fuel markets will remain very tight until at least November amid ongoing disruptions and export restrictions.

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On the security side, Iran will continue to aggressively target shipping in the Strait of Hormuz to undermine recent US successes in raising regional output. Meanwhile, a likely escalation in Houthi attacks on Saudi energy infrastructure would put the East-West pipeline at risk of further disruptions.

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Nevertheless, the US-assisted escort system will probably succeed in keeping regional oil volumes above 12 million barrels per day (bpd) despite ongoing attacks by Iran and its regional allies.

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Read more about diesel here and about oil prices here . Reach out to discuss: ecr@eurasiagroup.net .

Brazil—Bolsonaro favored to win Brazil's presidential runoff

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Bolsonaro's 47% first-round showing outpaced Lula's 45%—running counter to EG's forecast of a Lula advantage. The shift in Bolsonarista support relative to 2022 was broadly uniform nationwide, signaling widespread discontent with the current administration.

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Bolsonaro now holds a three- to four-point advantage heading into the runoff, a second-round vote, giving him 70% odds of victory. Strategic voting helped him, and with better alignment with voters' main issues, he is the clear favorite. Voter concerns about corruption and stagnation outweighed Lula's incumbency advantage. A Lula win (30% odds) depends on an effective campaign and attacks on Bolsonaro's vulnerabilities.

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EG has upgraded Brazil's short-term trajectory from neutral to positive: a constitutional reform resetting the rules for mandatory spending growth and swift approval of regulatory measures to spur private investment are likely under a Bolsonaro government (see note , 4 October).

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Read more here . Reach out to discuss: brazil@eurasiagroup.net .

upcoming conference calls

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7 October 10:00 AM ET—Mexico update. Register here .

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7 October 11:00 AM ET—A conversation with Dr. Mmusi Maimane (South Africa elections). Register here .

eg in brief

US—Bombers' return to US is minimal constraint on Iran escalation: The US Air Force recalled its B-1 Lancer bomber aircraft from RAF Fairford in the UK, reportedly after a foiled Iran-backed terror plot targeting the base, but the withdrawal is a minimal constraint on Trump's escalatory options as midterm elections approach. The US operational bomber arsenal has the range and aerial refueling capabilities to strike the Middle East from domestic bases, as both Trump and former president Joe Biden have demonstrated. The principal tradeoffs of flying from the US rather than the UK are flight time and the need for aerial refueling. The decision to bring the bombers home rather than redeploy them elsewhere in the region reflects the politically contentious nature of basing in the UK, which previously prevented and then limited strikes out of Fairford—as well as the vulnerability of forward bases in the conflict with Iran. Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Upcoming events:

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6 October: Data: US trade.

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7 October: Data: China foreign reserves; Central bank decisions: Peru and Poland.

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8 October: Data: Japan current account balance, Taiwan trade; Central bank decisions: Romania and Uruguay.

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9 October: Data: Brazil and Russia CPI, and US UMich consumer sentiment.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“Rather than tempting the enemy, we’ll capture the enemy and beat the enemy. But why should we leave [the bombers] there? So we moved them around a little bit.”—Trump told reporters on 6 October after threats triggered the Pentagon to pull its bombers from a UK air base.

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